

KOVA — Use of Funds

[COMPANY LEGAL NAME] · Seed Round · [DATE]
Confidential — for qualified investors under NDA

Funding overview

Item	Detail
Round	Seed
Target raise	USD 150,000 – 300,000
Planning baseline	USD 200,000
Runway	12–18 months
Primary goal	1,000 paying users in Kenya; revenue-generating; regional expansion groundwork
Instrument	[SAFE / Priced equity / Convertible note — TBD]

Context: Product is fully built (estimated USD 159K–245K sweat-equity value). Capital deploys to **team, GTM, AI scale, and compliance** — not core product construction.

Why this amount

Consideration	Rationale
USD 150K minimum	12 months: 2 hires + infra + marketing + partner activation
USD 300K ideal	18-month runway: 3 hires + aggressive GTM + Nigeria/SA prep
Not >USD 300K at this stage	Product exists; over-raising pre-PMF creates valuation pressure
Not <USD 100K	Cannot hire; marketing too thin; founder-only bottleneck

Allocation — USD 200,000 baseline

Category	%	USD	KES (approx.)	Purpose
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Team & talent	40%	80,000	10.4M	Growth Lead, Custom Success part-ti design payrol taxes
Marketing & GTM	25%	50,000	6.5M	Paid social Whats campa events partne progra incent pilot LOIs
LLM & API costs	15%	30,000	3.9M	Open + platfor APIs at ~1,00 users, Photo studio credits
Infrastructure & tools	10%	20,000	2.6M	Railwa scale- R2, monit securi tooling doma
Legal, compliance, admin	10%	20,000	2.6M	Incorp found docs, ODPC Meta review accou buffer

Total	100%	200,000	~26M	
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Exchange rate for planning: [USD/KES RATE] — update at close.

Team & talent (40% — USD 80,000)

Role	Timing	Annual cost (planning)	Notes
Growth Lead	Month 1–2	~USD 24–30K	GTM, partnerships, partner program
Customer Success	Month 3–4	~USD 18–24K	Onboarding, pilot support, retention
Contract design/content	As needed	~USD 8–12K	Case studies, deck, ads
Founder salary	Minimal	~USD 12–18K	Stipend only — majority to hires

Outcome: Founder shifts from solo build to growth + customer success leadership.

Marketing & GTM (25% — USD 50,000)

Line item	Budget (USD)	Purpose
Performance ads (Meta, TikTok)	18,000	SME targeting — Nairobi + secondary cities
WhatsApp / SMS campaigns	8,000	Pro-tier funnel; salon, food, retail verticals
Partner program activation	10,000	Commissions, onboarding kits, partner events
Events & incubators	6,000	Demo days, university partnerships
Pilot incentives & LOIs	8,000	14 TEST_BUSINESSES → 3–5 public case studies

KPI: CAC payback <6 months on Growth tier (KES 1,499/mo).

LLM & API costs (15% — USD 30,000)

Scaled for ~1,000 users with Plan v2 token caps:

Tier	Monthly LLM cap (planning)
Starter	1M tokens
Growth	4M tokens
Pro	10M tokens
Agency	40M tokens

Includes OpenRouter inference, vision analysis, WhatsApp template costs, and Photoroom studio polish pool.
Metering enforced in apps/agents/budget.py.

Infrastructure & tools (10% — USD 20,000)

Service	Notes
Railway (Web, Worker, Beat, Redis, Postgres)	Scale from ~USD 30/mo to ~USD 500–1,500/mo at 1K users
Cloudflare R2	Media storage growth
Resend	Email volume past free tier
Monitoring & backups	Uptime, error tracking
Domains & SSL	Primary + marketing domains

Current pre-scale burn: ~USD 28–36/month (~KES 3,500–4,500).

Legal, compliance & admin (10% — USD 20,000)

Item	Est. (USD)
Kenya incorporation + BRS fees	2,000
Advocate — founders agreement, IP, SHA prep	8,000
ODPC registration + DPIA support	2,000
Meta app review / business verification	1,500
M-Pesa production go-live	1,000
Accounting & tax (KRA)	3,000
Contingency	2,500

Milestone-linked view (optional tranches)

Milestone	% release	Evidence
Close + incorporation complete	30%	Cert of incorporation, bank account
100 paying users	30%	Billing export, churn report
500 paying users + 25 active partners	25%	Partner dashboard, case studies
1,000 paying users	15%	Management accounts, board report

Tranche structure subject to investor negotiation.

Revenue vs burn (summary)

Period	Paying users (target)	MRR (planning, blended KES 1,400)	Monthly burn (est.)
Month 6	150	~KES 210K	~KES 1.5M
Month 12	500	~KES 700K	~KES 2.0M
Month 18	1,000	~KES 1.4M	~KES 2.2M

Detailed model: 03-financial/KOVA_Financial_Projections_TEMPLATE.md.

What we will not fund with seed capital

- Greenfield product rebuild (already complete)
- Large office lease or hardware capex
- Unrelated ventures or founder personal expenses (beyond modest stipend)
- Unapproved related-party transactions

Reporting to investors

- **Monthly:** KPI email (users, MRR, churn, burn, cash)
- **Quarterly:** Board-style update + cap table confirmation
- **Annual:** Management accounts; path to audited statements when material

